

America's Global Posture

China Containment, Alliance Management, and the Indo-Pacific Pivot Under Trump

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Executive Summary

The United States under the Trump administration has pursued a geopolitical posture defined by transactional unilateralism, selective alliance management, and an escalating confrontation with both China and Iran. The America First doctrine — carried forward from Trump's first term — has reshaped multilateral institutions, strained alliance architectures in Europe and the Indo-Pacific, and simultaneously opened new theatres of direct military engagement in the Middle East. The US-Iran war launched in early 2026 has become the dominant near-term variable in US grand strategy, diverting attention and assets from the Indo-Pacific pivot that has been the institutional consensus since 2011. At the same time, China continues its military modernisation drive, expanding naval reach and consolidating economic relationships across the Global South. Washington's toolkit — sanctions, security partnerships, and technology denial — faces mounting stress tests across multiple fronts simultaneously.

1. The Trump Doctrine: America First, Transactional Multilateralism, and the Sanctions Architecture

The America First framework that defined Trump's first term (2017–2021) has been carried into his second administration with deepened institutional backing. The USTR's 2025 Trade Policy Agenda explicitly asserted that the approach had produced results that were retained by a subsequent administration — a claim of bipartisan credibility the White House has deployed to justify further assertiveness. [RAG: US_POLICY_RAG — USTR Trade Policy Agenda & National Trade Estimate 2024–2026, p.19]

Trump entered office in January 2025 threatening to tear up trade deals, extract payment from military allies, end the Iran nuclear accord, and build infrastructure along America's southern border. After his first year, analysts noted that the world order was "strained but not broken" — a verdict that pointed to the gap between Trump's rhetorical radicalism and institutional inertia. CNA[2018-01-19] The pattern held into his second term: disruptive signalling followed by selective follow-through.

Sanctions have remained the primary coercive instrument of US foreign policy. Against Russia, the architecture built since 2014 — travel bans, asset freezes, and economic restrictions — was maintained and expanded, including consideration of targeting Russia's oil sector and banking system. CNA[2022-01-27] Against Iran, a maximum pressure campaign was in operation from Trump's first term, targeting gold, precious metals, the US dollar, car manufacturing, and oil sales. CNA[2018-09-27] The maritime dimension of the sanctions regime has grown in strategic importance: the seizure of the Russian-flagged tanker *Marinera* exposed the fragility of UNCLOS in an era of shadow fleets and geopolitical rivalry, with enforcement shifting "from courtrooms to contested waters." CNA[2026-01-10]

China has embedded itself as the primary sanctions-circumvention partner for adversarial states. Beijing purchases nearly 90 per cent of Iran's oil exports through independent refiners to circumvent US restrictions, and the two countries formalised their relationship via a 25-year comprehensive strategic partnership in 2021. CNA[2025-06-18] This arrangement is characterised by analysts as "transactional" and "deeply asymmetrical," with Iran serving as a source of cheap oil and a foil to US influence in the Gulf. CNA[2025-06-18] The result is a sanctions regime that imposes real costs on targeted states while generating structural incentives for alternative economic architectures.

2. The US-Iran War and Its Implications for the Indo-Pacific Pivot

The most consequential development in US strategy since early 2026 has been the decision to join Israel in direct military operations against Iran. In March 2026, Israeli warplanes struck Tehran and killed Supreme Leader Khamenei; a leadership council took over amid celebrations in several Iranian cities. CNA[2026-03-01] The US complemented Israel's kinetic campaign with advanced long-endurance drones — the LUCAS system — capable of maintaining surveillance over Iran for up to 27 and 36 hours respectively, without the operational constraints of manned aircraft. CNA[2026-03-12]

The strategic logic underpinning the campaign is attrition: Washington seeks a "sprint" to destroy Iran's missile launchers before Iranian munitions exhaust US and Israeli finite defence stockpiles, while Tehran seeks to expand the conflict to Gulf states to raise the cost of American participation. CNA[2026-03-06] The war has already disrupted regional aviation — Singapore Airlines and Scoot cancelled Middle East routes — and threatened to engulf Gulf Arab states that have historically maintained precarious balancing positions. CNA[2026-03-01]

The broader strategic cost is severe. The Indo-Pacific pivot — the institutional consensus of two successive US administrations — has been functionally suspended. As one analyst noted, "it would be difficult for Washington to pay attention to Asia if its strategic resources are tied down in the Middle East." CNA[2026-03-06] Defence planners across Asia have registered the implications: the LUCAS drone operations demonstrate that the US is complementing high-end missile arsenals with cheap attritable systems, a lesson directly applicable to Taiwan Strait contingency planning. CNA[2026-03-12]

China's response has been strategically ambiguous. Beijing abstained on a UN Security Council vote regarding the Iran conflict — a departure from its prior pattern of voting with Russia against Western-backed resolutions. CNA[2026-03-27] Chinese foreign ministry officials explicitly stated that cooperation "should not be directed against any third party" and opposed "exclusive cliques or bloc confrontations" — framing Beijing's position as principled neutrality while preserving the Iran relationship and signalling displeasure at US-led regional ordering. CNA[2026-05-26]

3. Alliance Management: Quad Strain, Indo-Pacific Architecture, and European Divergence

The Trump administration's relationship with the multilateral alliance architecture it inherited has been characterised by selective engagement and studied indifference. The Quad — comprising the US, Australia, Japan, and India — has stalled at the working level. The revival of Quad-linked projects by Secretary Rubio in May 2026 was read as an attempt to address questions about American commitment, but analysts noted that the absence of summit-level meetings risked "geopolitical insignificance" for the grouping. CNA[2026-05-15] Trump's disinterest is a contributing factor, but not the only one: India's independent posture, Japan's leadership transitions, and Australia's hedging have all complicated cohesion. CNA[2026-05-15]

The AUKUS trilateral security partnership between the US, UK, and Australia has shown greater institutional durability. The partnership's third anniversary Joint Leaders Statement reaffirmed the US prioritisation of security-focused groupings over broader multilateral engagement with ASEAN. CNA[2024-10-10] Australia's Foreign Minister Penny Wong framed AUKUS explicitly in terms of maintaining strategic equilibrium and deterring North Korean provocations, while also signalling willingness to engage China "in a way that is respectful, with recognition that Beijing has its own set of interests." CNA[2023-03-14]

The US-Japan relationship remains structurally central to Indo-Pacific security. Japanese analysts at Keio University note that the challenge is not the bilateral relationship per se but Japan's positioning as US-China disputes intensify — recommending a pragmatic approach to China while maintaining the alliance as a "cornerstone," supplemented by strengthened cooperation with the EU, UK, Australia, and ASEAN. CNA[2020-10-05] The South Korea-US-Japan trilateral security pact — signed with great fanfare — has been complicated by domestic politics: all three leaders who signed the pact departed office within a year, with South Korea's Yoon Suk Yeol facing impeachment following a martial law crisis. CNA[2024-12-07]

Southeast Asia has concluded that it cannot simply wait out the Trump presidency. Key US strategy documents indicate that the region is not high on Washington's priority list, but regional policymakers at the S. Rajaratnam School of International Studies have argued that disengagement would be strategically costly. CNA[2026-02-06] The broader regional anxiety is that great power competition is producing binary pressures: ASEAN Secretary-General Kao Kim Hourn warned explicitly against the association becoming "a proxy" of any party in a major power rivalry. CNA[2023-03-31]

Ukraine has experienced the sharpest consequences of the Trump administration's recalibration of US commitments. American military assistance — NASAMS air defence systems, HIMARS rocket systems, Abrams tanks, Stinger missiles, and US\$174.2 billion in total aid — was provided under the Biden administration. CNA[2024-11-07] Under Trump, the Senate Armed Services Committee approved a reduced US\$500 million in security assistance for Ukraine in the FY2026 National Defense Authorization Act. CNA[2025-07-11] Kyiv's "victory plan" — centred on long-range strikes against Russian territory, NATO membership, and continued Western military aid — found limited enthusiasm among European partners and none from Washington. CNA[2024-10-22]

4. Sino-American Competition: Military Modernisation, Economic Architecture, and the Global South

The structural competition between the US and China has deepened materially since Trump's return to office. China's defence budget for 2025 expanded by 7.2 per cent — the tenth consecutive year of single-digit growth — sustaining a military modernisation drive that has produced the Fujian, China's third aircraft carrier, now in active service. CNA[2025-03-05] The Fujian features electromagnetic catapults for take-offs, making it potentially far more capable than China's two prior Russian-designed carriers and directly relevant to power projection in the South China Sea and beyond. CNA[2025-11-07]

The Trump-Xi meeting at the Asia-Pacific Economic Cooperation summit in October 2025 tested how far both countries were willing to stabilise ties strained by trade disputes, technology rivalry, and geopolitical competition. CNA[2025-10-29] The meeting provided a brief channel for managing tension but did not resolve structural disputes. Analysts noted that whether bilateral ties spiral or stabilise "hinges on China's interpretation of American actions and vice versa." CNA[2025-01-03]

China has moved aggressively to use the US-China rivalry to its competitive advantage in third theatres. Beijing's claim to be a defender of "might is right" critique — positioning itself as a champion of multilateral norms against US unilateralism — has had mixed resonance. Wang Yi's diplomatic offensive

produced real results in Southeast Asia, with Chinese leaders visiting nine of ten ASEAN member states in 2020 during a period of American absence from the region. CNA[2021-03-16] In Africa, analysts noted that both powers have competed to expand their footprint, with African states possessing leverage to extract commitments from multiple suitors. CNA[2022-12-14]

Trump's claims regarding Chinese influence in the Panama Canal reflect a broader concern: Marco Rubio, at his confirmation hearing for Secretary of State, raised concerns about a foreign power's ability to turn the canal into a "choke point in a moment of conflict." CNA[2025-01-25] The Panama Canal posture is best understood as shorthand for a more assertive Latin America policy aimed at pushing back against Chinese port and infrastructure investments across the region. CNA[2025-01-25]

The technology denial strategy — cutting China off from the global high-tech supply chain, particularly semiconductors and advanced jet engine technology — has continued as the primary US tool for slowing China's military-technological trajectory. Analysts noted that this approach may inadvertently accelerate Chinese self-reliance and economic transformation, with unpredictable second-order effects. CNA[2025-01-03] The US-India General Electric F-414 jet engine joint production agreement — finalised during Modi's 2023 state visit — is one component of this: only four nations currently possess jet engine manufacturing capability, and extending that capacity to India is explicitly designed to strengthen the US-India defence relationship as a check on Chinese dominance. CNA[2024-10-17]

The Abraham Accords framework, Trump's signature first-term foreign policy achievement, has been revived as an organising concept for Middle East normalisation. Trump's Middle East envoy Steve Witkoff has been tasked with tying further Abraham Accords expansion to an Iran deal — creating a linkage between Gulf normalisation and the Iran war's endgame. CNA[2026-05-26] The accords themselves, however, remain "unpopular among the public in many parts of the region" because they do not address the Israeli-Palestinian conflict. CNA[2026-05-26] Israel's direct strike on Qatar — the first time Israel has launched an attack within a Gulf Arab state — has placed further stress on Gulf Arab calculations regarding Israel. CNA[2025-09-11]

Outlook

The United States enters the latter half of 2026 managing simultaneous strategic commitments that strain available resources: an active kinetic campaign in the Middle East, a contested Indo-Pacific architecture facing Chinese naval expansion, a diminished Ukraine support posture that has eroded European confidence in US reliability, and an unresolved great power competition in which China is accelerating military and economic consolidation.

The America First doctrine has demonstrated operational coherence across two administrations — trade policy, technology denial, and sanctions enforcement have all survived the Biden interregnum — but its structural tension with sustained multilateral alliance management remains unresolved. Partners from Japan to Australia to Southeast Asia are hedging. The Quad risks irrelevance without summit-level commitment. AUKUS holds, but as a narrow security corridor rather than a broad strategic platform.

The Iran war has introduced the highest-order variable: if the campaign extends beyond 2026, the opportunity costs for Indo-Pacific positioning will compound. China, watching with studied ambiguity, has every incentive to allow the US to exhaust itself in the Middle East before the Taiwan Strait question reaches its own critical inflection point. Washington's ability to manage simultaneous theatres at the required scale and duration remains the central strategic question for the remainder of the Trump term.

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